

Goodyear (GT)

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Executive Summary:

I am recommending a buy of Goodyear Tire & Rubber Company stock. Based on my discounted cash flow (DCF) valuation, I estimate an intrinsic value of \$11.48 per share, which represents approximately 4.3% upside from the May 2, 2025 closing price of \$11.01. Given recent market volatility and signs of stabilization in Goodyear's financial performance, I view the stock as trading at a modest discount to intrinsic value.

I derived this share price using a discounted cash flow (DCF) model. Key assumptions include a weighted average cost of capital (WACC) of 6.66%, a terminal growth rate of 2.0%, and a 25% effective tax rate. After a volatile period, revenue increased 42% in 2021, followed by more normalized growth. Revenue is projected to remain relatively stable, reaching about \$18.88 billion in 2024 and gradually increasing over the forecast horizon, while EBIT is projected to scale with revenue, rising from about \$653 million in 2023 to approximately \$963 million by 2029.

There are meaningful risks to consider before purchasing the stock. Goodyear's results are cyclical and tied to global vehicle demand and consumer spending, so an economic slowdown could reduce tire volumes. Margin pressure is also a risk given volatility in raw material costs, particularly rubber and oil-based inputs. In addition, the business is capital-intensive and carries elevated leverage. As of December 2024, net debt is about \$7.92 billion (including lease obligations and net of cash), which increases sensitivity to interest rates and limits financial flexibility.

Despite these risks, I see several factors supporting Goodyear's long-term outlook. My model forecasts unlevered free cash flow rising from about \$0.50 billion in 2025 to about \$0.57 billion by 2029, implying steady cash generation and disciplined reinvestment. Goodyear's global footprint and brand provide competitive advantages, and its exposure to the replacement tire market supports recurring demand even when original equipment volumes weaken. The limited number of scaled competitors and high capital barriers to entry also support market share stability. Overall, I believe the market is undervaluing Goodyear's normalized earnings power, making the stock a compelling investment.

Introduction:

Goodyear was founded in 1898 and is one of the largest and most recognized tire manufacturers globally, competing with major peers such as Michelin, Bridgestone, and Continental. The company produces tires for passenger vehicles, trucks, SUVs, aircraft, and industrial applications, and it also sells related products and services. In this paper, I present my analysis of Goodyear's outlook over the next five years and explain why I believe the stock is trading below intrinsic value based on my valuation work. Goodyear's share price has been volatile in recent years due to macroeconomic pressures and fluctuating input costs, but the company has taken steps to streamline operations and strengthen its product portfolio. A major strategic move was the 2021 acquisition of Cooper Tire, which expanded Goodyear's scale and improved its positioning in key markets, especially in North America. Goodyear's products are sold globally, supported by a broad distribution network and relationships with original equipment manufacturers and retailers. The company is also investing in innovation, including tire technology designed for electric vehicles and the use of more sustainable materials, to align with longer-term mobility trends.

Leadership:

Goodyear's leadership team is led by Chief Executive Officer and President Mark Stewart, who joined Goodyear and its Board of Directors in January 2024 and became CEO and President effective January 29, 2024. Stewart joined from Stellantis, where he served as Chief Operating Officer for North America, bringing a strong operations background that aligns with Goodyear's current priorities around execution, margins, and cash generation in a cyclical industry. This change followed the planned retirement of Richard J. Kramer, who previously served as Chairman, CEO, and President. Kramer stepped down as Chairman and as a director on January 29, 2024, and served as Senior Advisor to the CEO through July 31, 2024 to support the transition. At the board level, Laurette T. Koellner was elected non-executive Chair of the Board, effective January 29, 2024.

Industry Analysis:

Goodyear Tire & Rubber Company operates in the global tire industry, with sales across North America, Europe, and Asia. As a result, I view the company as exposed to risks beyond internal operations, including foreign exchange movements that can affect reported earnings. Raw material costs, especially rubber, steel, and oil-based inputs, are another major concern because price volatility can pressure profit margins.

The industry is also seasonal and weather-sensitive, particularly in regions where winter tires drive demand. Mild winters or delayed weather-driven demand can shift or reduce sales. In addition, the rise of electric vehicles and changing mobility trends is reshaping consumer preferences and product requirements, requiring Goodyear to adapt through innovation.

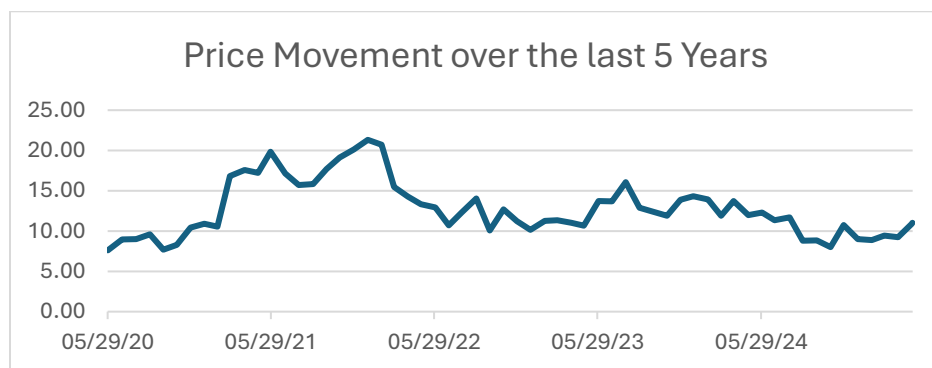
Economic downturns also present a key risk. During recessions, consumers may delay replacing tires, reducing sales volumes. Internally, Goodyear faces supply chain challenges due to its large global manufacturing footprint, and disruptions can affect production and delivery timelines.

In 2021, Goodyear acquired Cooper Tire, expanding its market reach. While this acquisition increases scale, it also introduces integration and leverage risk. As of December 2024, total debt (including lease obligations) is around \$8.79 billion, and net debt is around \$7.92 billion. Successful integration and continued execution will be key to long-term value creation.

Historical Financial Performance:

Goodyear has been publicly traded since its initial public offering on August 5, 1927, when it listed on the New York Stock Exchange. Today, the company identifies its stock as trading under ticker GT on Nasdaq. Over the decades, Goodyear's share price has seen major swings, with an all-time high closing price of about \$56.7 on March 31, 1998. In early May 2025, the stock traded around \$11.01. In June 2021, Goodyear completed its acquisition of Cooper Tire, a transaction that was announced with a total enterprise value of approximately \$2.5 billion, expanding its product lineup and strengthening its position in the global tire market. Despite this strategic move, the stock has remained well below its late-1990s peak, reflecting Goodyear's exposure to a cyclical auto market and broader macro and industry headwinds.

Exhibit 1



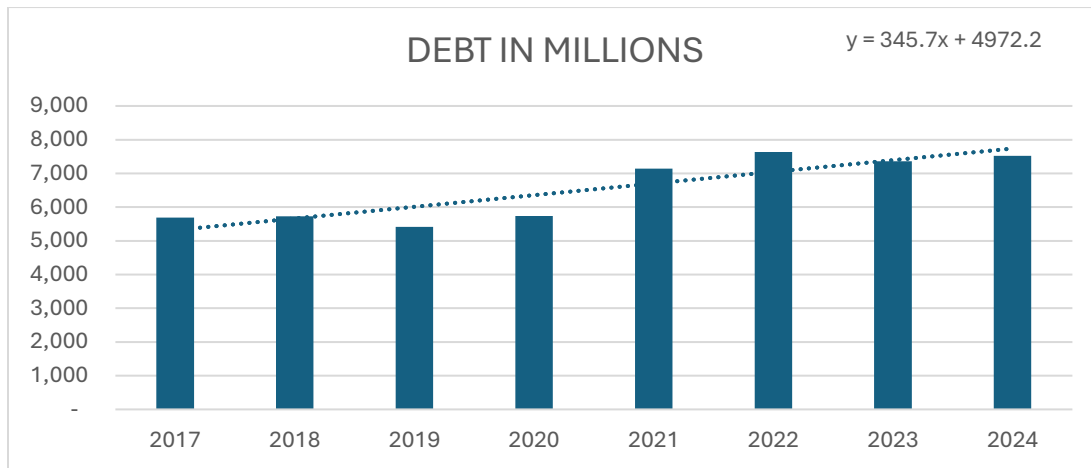
Valuation Framework:

I valued Goodyear using an unlevered discounted cash flow model. I forecast operating results and convert them into unlevered free cash flow, discount the cash flows at my WACC, and calculate enterprise value. I then subtract net debt (including lease obligations, net of cash) to reach equity value, and divide by diluted shares to estimate intrinsic value per share. My base case implies \$11.48 per share versus \$11.01 as of May 2, 2025.

Debt Analysis:

In my leverage review, the chart below shows total debt excluding lease obligations increasing from \$5.4 billion in December 2019 to \$7.5 billion in December 2024, with the largest step-up occurring in 2021. A key driver was Goodyear's acquisition of Cooper Tire, which was announced as a transaction with a total enterprise value of approximately \$2.5 billion. Cooper shareholders received a mix of cash and Goodyear shares, and Goodyear funded the cash portion primarily through incremental debt financing tied to the transaction. In a higher interest-rate environment, this added leverage increases interest expense and reduces financial flexibility. Using my FactSet-based financials and the balance sheet definition of total debt including lease obligations, Goodyear's debt-to-assets ratio increased from about 38.0% (December 2019) to about 41.9% (December 2024).

Exhibit 2



Ratio Analysis:

In addition to my debt evaluation, I conducted a ratio analysis to further support my buy recommendation. Exhibit 3 presents several key financial metrics, including earnings per share, return on assets, and return on equity, among others. These indicators provide deeper insight into Goodyear's financial health and operating performance.

Liquidity and Leverage:

The current ratio has remained around 1.0 over the observed period, suggesting Goodyear generally maintains enough short-term assets to cover short-term liabilities. The quick ratio was 0.55 in 2024, indicating tighter liquidity when inventory is excluded, which is common for manufacturing businesses that carry meaningful inventory. Importantly, this measure has been relatively steady, suggesting liquidity has not materially deteriorated despite a challenging macro environment. The debt ratio declined modestly from 0.80 in 2020 to 0.77 in 2024. While still elevated, this stability suggests Goodyear has maintained a consistent capital structure through the post-pandemic period and a higher inflation and interest-rate environment.

Profitability and Performance:

Earnings per share improved meaningfully, rising from -5.36 in 2020 to 0.24 in 2024, signaling a turnaround in bottom-line performance. Return on assets and return on equity remain modest at 0.00 and 0.01 in 2024, but both are improvements versus the negative levels seen in 2020 and 2023, consistent with gradual stabilization in profitability. Profit margin also turned slightly positive in 2024 (0.37%) after a sharp decline in 2023 (-3.43%), indicating progress in margins and operating efficiency.

Revenue Growth:

Goodyear posted strong revenue growth in 2021 (41.86%) and 2022 (19.04%), supported in part by the Cooper Tire acquisition. Revenue declined in 2023 (-3.55%) and 2024 (-5.92%), which I attribute primarily to macro and industry conditions rather than a structural deterioration in the business. Overall, while certain metrics still reflect a recovery phase, the direction of change supports my view that Goodyear is stabilizing and positioned for continued improvement, which supports my buy recommendation.

Exhibit 3

Ratio Analysis:	DEC '20	DEC '21	DEC '22	DEC '23	DEC '24
Current Ratio	1.10	1.11	1.21	1.07	1.04
Quick Ratio	0.68	0.57	0.57	0.55	0.55
Debt Ratio	0.80	0.76	0.76	0.78	0.77
Earnings Per Share	(5.36)	2.93	0.71	(2.42)	0.24
Return on Assets	-7.44%	4.03%	0.92%	-3.13%	0.33%
Return on Equity	-33.76%	18.92%	3.92%	-13.82%	1.49%
Revenue growth	-16.44%	41.86%	19.04%	-3.55%	-5.92%

Profit Margin	-10.18%	4.37%	0.97%	-3.43%	0.37%
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Operating Efficiency: Inventory, Receivables, and Payables:

Goodyear's inventory and working-capital efficiency are broadly in line with industry norms. Based on my cash conversion cycle analysis, Goodyear holds inventory for 89.37 days on average and collects from customers in 49.96 days, which suggests inventory is moving at a reasonable pace and collections are stable for a large manufacturing business. Goodyear pays suppliers in 102.64 days, which is somewhat elevated versus typical ranges and helps near-term cash flow, but it can create supplier relationship risk if payment terms become a point of friction. Overall, Goodyear's cash conversion cycle is 36.69 days, which falls within commonly cited industry ranges rather than materially below them. This indicates the company is converting working capital to cash at a steady pace and has flexibility to fund operations and reinvestment as conditions normalize.

Exhibit 4

<u>Cash Conversion Cycle</u>						
Line Item	2019	2020	2021	2022	2023	2024
Sales	14,745.00	12,321.00	17,478.00	20,805.00	20,066.00	18,878.00
COGS	11,171.00	9,846.00	13,264.00	16,556.00	16,138.00	14,897.00
Inventory (end of year)	2,851	2,153	3,594	4,571	3,698	3,597
Customer receivables (end of year)	1,938	1,690	2,376	2,604	2,718	2,450
Supplier payables (end of year)	2,908.00	2,945.00	4,148.00	4,803.00	4,326.00	4,052.00
Days in year	365.00	365.00	365.00	365.00	365.00	365.00
Sales per day	40.40	33.76	47.88	57.00	54.98	51.72
COGS per day	30.61	26.98	36.34	45.36	44.21	40.81
Average Inventory		2,502.00	2,873.50	4,082.50	4,134.50	3,647.50
Average customer receivables		1,814.00	2,033.00	2,490.00	2,661.00	2,584.00
Average supplier payables		2,926.50	3,546.50	4,475.50	4,564.50	4,189.00
Days inventory is held		92.75	79.07	90.00	93.51	89.37
Days to collect from customers		53.74	42.46	43.68	48.40	49.96
Days to pay suppliers		108.49	97.59	98.67	103.24	102.64
Cash conversion cycle		38.00	23.94	35.02	38.68	36.69